1. Meaning and Elements of Computer System p.9

A computer is an electronic device, which is capable of performing a variety of operations as directed by a set of instructions. This set of instructions is called a computer programme.

A computer system is a combination of six elements:

(i) Hardware

(ii) Software

(iii) People

(iv) Procedures

(v) Data

(vi) Connectivity

Meaning and Elements of Computer System

(i) Hardware

physical components such as keyboard, mouse, monitor and processor.

Meaning and Elements of Computer System

(ii) Software

There are five types of software as follows:

a) Operating System: An integrated set of specialised programmes that are meant to manage the resources of a computer and also facilitate its operation is called operating system.

It creates a necessary interface that is an interactive link, between the user and the computer hardware.

Meaning and Elements of Computer System

(ii) Software

There are five types of software as follows:

(b) Utility Programmes: These are a set of computer programmes, which are designed to perform certain supporting operations: such as programme to format a disk, duplicate a disk, physically reorganize stored data and programmes.

Meaning and Elements of Computer System

(ii) Software

There are five types of software as follows:

(c) Application Software: These are user-oriented programmes designed and developed for performing certain specified tasks: such as payroll accounting, inventory accounting, financial accounting, etc.

(d) Language Processors: These are the software, which check for language syntax and eventually translate (or interpret) the source programme (that is a programme written in a computer language) into machine language (that is the language which the computer understands).

Meaning and Elements of Computer System

(ii) Software

There are five types of software as follows:

(e) Connectivity Software: These are a set of programmes which create and control a connection between a computer and a server so that the computer is able to communicate and share the resources of server and other connected computers.

Meaning and Elements of Computer System

(iii) People

People interacting with the computer are also called **liveware** of the computer system. They constitute the most important part of the computer system such as System Analysts, Programmers and Operators.

- System Analysts are the people who design data processing systems.
- Programmers are the people who write programmes to implement the data processing system design.
- Operators are the people who participate in operating the computers.

Meaning and Elements of Computer System

(iv) Procedures

These are a set of instructions, written in code, to instruct a computer on how to perform a task, run a software, etc.

There are three types of procedures:

- Hardware–oriented procedure It defines the working of a hardware component.
- The software-oriented procedure It is a set of detailed instructions for using the software.
- Internal procedure Directs the flow of information and sequences the data computer system.

Meaning and Elements of Computer System

(v) Data

These are facts and may consist of numbers, text, etc. These are gathered and entered into a computer system.

The data is, therefore, processed and organised to create information that is relevant and can be used for decision-making.

1. Meaning and Elements of Computer System

(vi) Connectivity

When two or more computers are connected to each other, they can share information and resources such as sharing of files (data/music etc.), sharing of printer, sharing of facilities like the internet etc.

This sharing is possible using wires, cables, satellite, infra-red, Bluetooth, microwave transmission etc.

2. Capabilities of Computer System p. 11

Speed

Accuracy

Reliability

Versatility

Storage

3. Limitations of a Computer System p. 12

Lack of Common-sense

Zero IQ

Lack of Decision-making

4. Components of Computer p. 14

4.1. Input Unit

Keyboard and Mouse, (OCR), bar code reader, touch-screen

4.2. Central Processing Unit (CPU)

- It has three main units:

(a) Arithmetic and Logic Unit (ALU)

(b) Memory Unit

(c) Control Unit

4.3. Output Unit

monitors also called Visual Display Units (VDU), printers, graphic plotter for producing graphs, technical drawings and charts

5. Evolution of Computerised Accounting

- Manual system of accounting
- billing machine
- Computerised accounting system.

6. Features of Computerised Accounting System

- Accounting software is used to implement a computerised accounting system.
- The computer accounting system is based on the concept of databases.
- It does away with the concept of creating and maintaining journals, ledger, etc. which are essential while working with manual accounting system.

6. Features of Computerised Accounting System

Computerised accounting system offers the following features:

- Online input and storage of accounting data.
- Printout of purchase and sales invoices.
- Logical scheme for codification of accounts and transactions. Each account and transaction is assigned a unique code.
- Grouping of accounts is done from the very beginning.
- Instant reports for management, for example – Aging Statement, Stock Statement, Trial Balance, Trading and Profit and Loss Account, Balance Sheet, Stock Valuation, Value Added Tax (VAT), Returns, Payroll Report, etc.

7. MIS and AIS p. 22

- A management information system (**MIS**) is a system that provides the information necessary to take decisions and manage an organisation effectively.
- Accounting Information System (**AIS**) identifies, collects, processes, and communicates economic information about an entity to a wide variety of users.
- Accounting Information System (**AIS**) is a part of the broader system, viz. the organisation's Management Information System (**MIS**).

7. MIS and AIS p. 22

7.1 Designing of Accounting Reports

When the related information is summarised to meet a particular need, it is called as a **report**.

Every accounting report must be able to fulfil the following criterion:

- Relevance
- Timeliness
- Accuracy
- Completeness
- Summarisation

7. MIS and AIS p. 22

7.1 Designing of Accounting Reports

Types of Accounting Reports

(a) ***Summary Reports***: Summarises all activities of the organisation and present in the form of summary report. **Profit and Loss account and Balance Sheet**.

(b) ***Demand Reports***: This report will be prepared only when the management requests them, e.g. **Bad Debts Report** for a given product, Stock Valuation Report.

(c) ***Customer/Supplier Reports***: According to the specifications of the management it will be prepared. For example, Top 10 Customers report

7. MIS and AIS p. 22

7.1 Designing of Accounting Reports

Types of Accounting Reports:

d) ***Exception Reports***: According to the conditions or exceptions the report is prepared. For example, Inventory Report in short supplies

e) ***Responsibility Reports***: The MIS structure specifies the premises of management responsibilities. For example, the report on Cash Position, to be submitted by the head of Finance and Accounts department.

7. MIS and AIS p. 22

7.1 Designing of Accounting Reports

Steps involved in designing accounting reports from accounting data are as follows (p. 26):

(1) **Definition of objectives**: the objectives of the report must be clearly defined, who are the users of the report and the decision to be taken on the basis of report.

(2) **Structure of the report:** the information to be contained therein and the style of presentation.

7. MIS and AIS p. 22

7.1 Designing of Accounting Reports

Steps involved in designing accounting reports from accounting data are as follows (p. 26):

3) **Querying with the database**: the accounting information queries must be clearly defined and the methodology to be adopted while interacting with the database.

4) **Finalising the report**.